



Home Alarm, Inc.: Testing Auto-Pay Marketing

“Marketing is, and always will be, a creative endeavor. But it doesn’t have to be so mysterious. As marketing noise and advertising clutter continue to increase, marketers will find that scientific experimentation will allow them to better communicate with their customers – and substantially raise the odds that their marketing efforts will pay off.”

*- Harvard Business Review, October, 2001
(Kevin Almquist and Gordon Wyner: Boost your
Marketing ROI with Experimental Design*

Kevin Starke, the VP of Marketing for Home Alarm, had just presented the results of his LTV calculations about the value of auto-pay to the CEO of the company. The numbers had suggested that residential customers on auto-pay were substantially more valuable than those who paid conventionally. The CEO had been excited: perhaps it was time to seriously promote auto-pay.

Kevin had come up with two ideas to push auto-pay for new customers. One idea was not to offer any incentives to customers but simply to train the sales force to present auto-pay as the default or standard option. But perhaps this approach was not forceful enough. Hence, his second idea was to use some of the additional LTV generated by auto-pay customers to entice customers to sign up. \$40 seemed the right number: This was the incremental profit generated by an auto-pay customer in the first two years of service and less than a quarter of the total incremental LTV that Kevin had calculated.

Implementing these two ideas was not hard. However, Kevin knew that at the end of the first year of putting these ideas to practice he would have to justify their value to Home Alarm: He would need a plan to test whether the ideas had worked. What worried him was whether the LTV difference between residential customers with and without auto-pay persisted once

customers were given an incentive to sign up or were presented with auto-pay as the default option.

Was there a way to implement the marketing of auto-pay to new customers that would enable Kevin to show by the end of the first year whether either of his two ideas had worked and if so, which one was more profitable for Home Alarm?